

MGT301 Principles of Marketing Lecture Wise Question and Answers

For Final Term Papers By

Virtualians Social Network

MGT301 Principles of Marketing Lecture no.23

Define the key term Augmented product?

The **AUGMENTED** product is the non-physical part of the product. It usually consists of lots of added value, for which you may or may not pay a premium. So when you buy a car, part of the augmented product would be the warranty, the customer service support offered by the car's manufacturer and any after-sales service. The augmented product is an important way to tailor the core or actual product to the needs of an individual customer. The features of augmented products can be converted in to benefits for individuals.

What is core Product?

The set of problem-solving or need-meeting benefits that customers are buying when they **purchase** a product. Customers are rarely prepared to pay a premium for these elements of a product.

What is Product development?

A strategy for company growth by offering modified or new products to current market segments, Developing the product concept into a physical product in order to ensure that the product idea can be turned into a workable product

What are the stages of product life cycle?

Introduction stage The product life-cycle stage in which the new product is first distributed and made available for purchase.

Growth stage The product life-cycle stage in which a product's sales start climbing quickly.

Maturity stage The stage in the product life cycle in which sales growth slows or levels off.

Decline stage The product life-cycle stage in which a product's sales decline.

MGT301 Principles of Marketing Lecture no.24

What internal factors affect the pricing decision?

Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations.

What is market skimming?

Market skimming is a pricing strategy in which marketers set relatively high price at first and then lower its price. It is done to get maximum revenues from the segment who are willing to pay high for the product, in this way company make fewer but profitable sales.

What are pricing decisions made by company?

There are different external factors that have an impact on pricing decisions. The nature of the market in which brand is selling, the demand of the product, the competitors present in the market, level of competition, the substitutes available in the market, changing consumers want and competitor's position in the market.

Define the term Targeting.

Targeting is when the market has been divided into different segments based on geographic segmentation, demographic segmentation, psychographic segmentation and behavioral segmentation; the marketer will select a segment or group of segments and target them

MGT301 Principles of Marketing Lecture no.25

What is Price - Variable Cost?

The manufacturer should consider different prices and estimate break-even volumes, probable demand, and profits for each.

What is Cost based pricing?

Cost-Based Pricing:

The simplest pricing method is cost-plus pricing—adding a standard markup to the cost of the product. Construction companies, for example, submit job bids by estimating the total project cost and adding a standard markup for profit. Lawyers, accountants, and other professionals typically price by adding a standard markup to their costs. Some sellers tell their customers they

will charge cost plus a specified markup; for example, aerospace companies price this way to the government. To illustrate markup pricing, suppose any manufacturer had the following costs and expected sales:

Then the manufacturer's cost per toaster is given by:

Unit Cost = variable Cost + Fixed Cost

The manufacturer's markup price is given by:

Markup Price = Unit Cost

What is Break-even analysis?

Break-even analysis is used to determine the point when a company's total sales or revenues equal to its total expenses. At the breakeven point, neither profit nor loss is incurred. It is important to identify the startup costs, which will help to determine the sales revenue. To calculate the breakeven point, one will need to identify the fixed and variable costs. Breakeven point = fixed costs/ (unit selling price – variable costs). Break-even analysis is only used when cost based pricing strategy is adopted. In this way company add a standard markup to the cost of the product and in reality the company is not generating much profit neither facing loss, in fact the whole process is balanced.

What is Captive product price?

Captive product price is actually setting a price for products that must be used along with a main product. Many companies make very low margins on the main products but are able to make very high margins on the expendable secondary products.

What are Monopolistic competition and Oligopolistic competition?

Monopolistic competition basically a type of imperfect competition, it means many producers sell products that are differentiated from one another but are not considered as substitutes with respect to price, branding, and quality etc.

Oligopolistic competition is practiced in a market in which market or industry is dominated by small number of sellers, basically lack of competition lead to higher cost of consumers. There are few sellers that is why they have to keep eye on action of others.

MGT301 Principles of Marketing Lecture no.26

What is Cash Discount?

A cash discount is a price reduction to buyers who pay their bills promptly. A typical example is "2/10, net 30," which means that although payment is due within 30 days, the buyer can deduct 2 percent if the bill is paid within 10 days. The discount must be granted to all buyers meeting these terms.

What is Functional discount?

Functional discount (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping.

What are Allowances?

Allowances are another type of reduction from the list price. For example, trade-in allowances are price reductions given for turning in an old item when buying a new one. Trade-in allowances are most common in the automobile industry but are also given for other durable goods.

What is the term Bribery?

Bribery is an act of giving money and gifting to alter the behavior of an individual. It constitutes crime defined by Black's Law Dictionary. Basically, it influences the action of an official or other person in charge of a public and legal duty. Bribe could be money, good, property, privilege, advantage and promise etc.

Explain Uniform-delivered pricing.

Uniform-delivered pricing is the Pricing that includes all transportation costs and where the seller holds the title to the goods until they are delivered to the customer. There are two basic kinds of UDP 1st one is Single-zone pricing, where all customers, irrespective of their distance from the seller, pay the same delivered price 2ndly Multi-zone pricing where a geographic area is divided into zones according to the distance from the seller's dispatch point.

MGT301 Principles of Marketing Lecture no.27

What are the meanings of customer-driven and customer-obsessed?

Customer- driven strategies reflect that they have been designed keeping in view the likings and preferences of customers. Customer obsessed depicts the same principle with more emphasis however. These two terms have been mentioned in lecture1 and brings home the fact that all strategies, moves and steps of the firm should cater the needs, likings, preferences of the customer.

What are cash rebates in promotional pricing ? What are loss leaders and low interest financing ?

In Promotional pricing companies can use several pricing tactics in order to stimulate early purchase. Loss leader pricing, cash rebates and low-interest financing all come under the category of promotional pricing.

In Loss leader pricing supermarkets or departmental stores often lower prices on some well-known brands order to attract store more customer to the store. This is done so that customers buy loss leader items along with other products. This strategy pays if revenue generated by sales on other products compensates for the lower margins on the loss-leader items.

In cash rebate money is refunded to customers who buy goods from dealers or retailers within specified period of time. E.g. a car dealer may announce that anyone who purchases a certain car within the month of July at a price of Rs.600000 will receive a cash rebate of Rs.250000. This is done in order to clear inventories.

In low interest financing instead of cutting prices, the company can offer customers merchandise at low interest rates. This lowers their monthly payments. Auto makers usually offer cars to their customers at low interest rates in order to stimulate purchase among their customers.

What is consumer value?

Consumer value is a marketing and business concept that attempts to analyze the satisfaction received by a customer from a purchase. More importantly, it tries to analyze the likelihood that the consumer will become a repeat customer providing ongoing business for the firm. Businesses analyze "customer value" in an attempt to solidify a customer base, study product performance and to market the product more effectively.

MGT301 Principles of Marketing Lecture no.28

What is Marketing Channel?

A set of interdependent organizations involved in the process of making a product or service available for use or consumption by the consumer or business user.

What are the functions of Distribution Channel?

The distribution channel moves goods and services from producers to consumers. It overcomes the major time, place, and possession gaps that separate goods and services from those who would use them. Members of the marketing channel perform many key functions:

- Information: gathering and distributing marketing research and intelligence information about actors and forces in the marketing environment needed for planning and aiding exchange.
- Promotion: developing and spreading persuasive communications about an offer.
- Contact: finding and communicating with prospective buyers.
- Matching: shaping and fitting the offer to the buyer's needs, including activities such as manufacturing, grading, assembling, and packaging.
- Negotiation: reaching an agreement on price and other terms of the offer so that ownership or possession can be transferred.

Differentiate between actual product and augmented product.

Actual product is the tangible, means physical part of the product. You can get some use out of it. Again with the refrigerator example, the actual body, space and compound of the refrigerator, including its color, style and size become the actual product which you can see and feel. Augmented product is the non-physical part of the product. It usually consists of lots of added value, for which you may or may not pay a premium. So when you buy a refrigerator, part of the augmented product would be the warranty and guarantee the customer service support offered by the refrigerator manufacture, and any after-sales service.

What is hybrid marketing?

When one company adopts multiple channels to reach one or more targeted customers it is called hybrid marketing system.

MGT301 Principles of Marketing Lecture no.29

What is difference between exclusive and selective distribution?

Exclusive distribution: -

According to Kotler “Giving a limited number of dealers the exclusive right to distribute the company’s products in their territories”.

For example, Shah Deen motors distribute luxuries automobiles (BMW, Mercedes etc).

Gourmet sweets are also example of exclusive distribution.

Selective distribution: -

According to kotler “The use of more than one, but fewer than all, of the intermediaries who are willing to carry the company’s products.

For example Electronics products (PEL, Dawalance, Waves, Sony etc) are examples of selective distribution.

Briefly Clarify supply chain management!!

Supply chain management (SCM) is managing the movement of materials, information, and finances from supplier to manufacturer, wholesaler, retailer and consumer.

Supply chain management (SCM) is the management of a network of interrelated businesses involved in the availability of product and service packages required by end customers (Harland, 1996).

Simply we can say that ‘supply chain management’ is the science that goes into improving the way your company finds the raw material it needs to make a product or service and deliver it to customers

What is Push Versus Pull Strategy?

A promotion strategy that calls for using the sales force and trade promotion to push the product through the channel is called push strategy.

MGT301 Principles of Marketing lecture no.30

What is Negative inflation?

Negative inflation means prices are decreasing overtime. It is possible when producers are producing output with low cost of production. So they sell output at low price. It does not mean that they are selling goods less than it cost.

What is Logistics and its forms?

Logistics is the management of the flow of goods, information and other resources, including energy and people, between the point of origin and the point of consumption in order to meet the requirements of consumers. Logistics involves the integration of information, transportation, inventory, warehousing, material-handling, and packaging, and occasionally security.

There are two forms of logistics

1. Inbound Logistics: the receiving and warehousing of raw materials and their distribution to manufacturing as they are required.
2. Outbound Logistics: the warehousing and distribution of finished goods.

What is the best method to acquire the needs of the customer?

The best method to acquire the needs of the customers is on time delivery. Tracking facility should provide to customers so they can online visit the status of delivery. Personal services should provide to customers. Courier companies should pick the parcels from organizations door step.

What are the Goals of the Logistics System?

The goal of logistics work is to manage the completion of project life cycles, supply chains and resultant efficiencies.

- Flawless delivery of raw materials
- Frictionless supply of complete product
- Fulfilling the market demand
- Inventory management
- Transportation
- Information dissemination
- In time delivery
- Flawless operations
- Facilitate production processes

What is retailing?

Retailing includes all the activities involved in selling goods or services directly to final consumers for their personal, no business use. Many institutions manufacturers, wholesalers, and

retailers do retailing. But most retailing is done by retailers: businesses whose sales come primarily from retailing.

MGT301 Principles of Marketing lecture no.31

Explain the marketing channel? And what is the difference between the vertical and horizontal marketing system?

A traditional marketing channel is made up of independent channel members like producer, wholesaler(s) and retailer(s). No channel member in traditional marketing channel has any control over any other member. Each is a separate and independent entity. In Vertical marketing system, however the producer, wholesaler(s) and retailer(s)

Act as a unified whole. One powerful channel member owns the others or franchises them or exert so much power that everybody else cooperates. In horizontal marketing system two or more unrelated companies join together resources to make use of an external opportunity. E.g. a bank and a supermarket chain may join together to offer in-store banking.

What are concepts of JIT?

Just in time is a production strategy that helps firm to produce in correct quantity and at correct time. Thus with this strategy all kinds of inventories raw materials, work in process, finished goods and spare parts etc. can be kept to a minimum. This strategy requires carefully planning and scheduling the flow of resources throughout the production process mostly using modern and sophisticated scheduling processes. Supplies and raw materials are delivered to the production line only when required. E.g. during car manufacturing exact number of tires would be delivered only when needed.

Define the difference between pull and push strategies with example.

Pull strategy is when the manufacturer uses advertising and other promotional offers to persuade the customers to ask the retailers for the product. The retailers in turn order it to the manufacturer in order to cater the needs of his customer. In Push strategy manufacturer uses its sales force and through trade promotional offers push the retailers and the wholesalers to carry, promote and sell the product to the customers.

Thus in pull strategy customer gets attracted to advertising and promotional offers and asks for it for himself—the PULL effect while in push strategy manufacturer pushes the product down the distribution channel—the PUSH effect.

MGT301 Principles of Marketing lecture no.32

What is meant by the potential buyer? And in non-personal communication how can promotion through atmosphere? Explain with example.

Potential buyer means that customer who can purchase product in future. Means there is possibility that this person can buy our product.

For example:

Every person belongs to lower income level can buy motor cycle. Motor cycle manufacturers can consider each lower income person as their potential buyer.

Give the Example of product line pricing ?

If a company has introduced 250 ml cold drink and 500 ml cold drink with different prices then it is termed as product line pricing. Similarly Safeguard soap has different prices then it is called as product line pricing.

Briefly explain the setting of the promotional budget.

Promotional budget setting in which the total to be spent in a given period is the sum of a certain set amount allocated to each item produced.

What is Marketing Communications Mix?

A company's total marketing communications mix—also called its promotion mix consists of the specific blend of advertising, personal selling, sales promotion, public relations, and direct marketing tools that the company uses to pursue its advertising and marketing objectives.

MGT301 Principles of Marketing lecture no.33

What are the most important 4 p's of marketing ? Price? and which is the best strategy cost based or value based?

All P's are integral part of marketing activities. They have their own importance.

Value based pricing is a business strategy. It sets selling prices on the perceived value to the customer, rather than on the actual cost of the product, the market price, competitor's prices, or the historical price.

A cost is the value of money that has been used up to produce something, and hence is not available for use anymore. So cost based pricing means to set price on the basis of cost incurred on the product.

Give the Concept of Persuasive advertising with example.

Persuasive advertising is a part of overall advertising strategy, which is used to compel consumers to purchasing specific goods or services. This is usually done by appealing to their emotions and sentiments. Unlike informative advertising, which focuses on the function of the product, persuasive advertising encompasses on the softer side of the picture and hit the sentiments of the consumer.

For example in an ad of beauty soap, the content of the ad focuses on delicate skin, smoothness which may attract the opposite gender. The sense of recognition is highlighted in these kinds of ads

Does "marketing channel" between producer and consumer means, distributors, wholesalers and retailers?

Marketing channel is the direction of promotional efforts at specific levels. These levels in a (channel of distribution) are distributor, wholesaler, and retailer. Marketing channel is a set of practices or activities necessary to transfer the ownership of goods, and to move goods, from the point of production to the point of consumption and, as such, which consists of all the institutions and all the marketing activities in the marketing process.

Does promotional pricing include "advertisements"?

Advertising is also a component of promotional pricing. Promotional pricing is sometimes linked with advertising, however advertising is only one part of a promotional pricing. Other important aspects of this may include public relations, consumer promotions, and any other area which increases awareness and spreads the word about the item.

What is vertical market?

Vertical Marketing is one in which the key members of a distribution channel i.e. the producer, wholesaler, and retailer etc. work together as a joined group in order to meet consumer needs.

What is the meaning of "logistic"?

Logistics is the management of flow of resources between the point of origin and point of destination in order to meet customer's requirements. It includes physical items such as: food, clothes, and machinery etc.

What are the characteristics of satisfied and loyal customers?

There are no particular characteristics of satisfied and loyal customers but you can check satisfaction via different characteristics such as: repeat purchase behavior, loyalty with same brand, to some extent price fluctuation does not matter, positive word of mouth communication, refer the brand to family and friends and purchase from the same outlet if loyal with the outlet even its far away from the customers residence.

MGT301 Principles of Marketing lecture no.34

Define Premium goods and Point of Purchase.

Premium goods:

Those goods which are of relatively higher in quality and consequently higher in price are known as Premium goods. In simple word the luxurious products are basically premium goods.

For example refined tobacco cigarettes and luxurious cars are premium goods

Point of Purchase:

It means that particular place where sales and purchase are occurrence.

For example that sales shelf in a shopping mall is a point of purchase for that product which is available at that shelf.

What is Sweepstakes?

It is Promotional tool or campaign in which some gifts given to the winners, selected only by chance from the received entries.

For example, wining a car from lucky draw

Explain Trade Promotion.

It is a promotional technique through which companies increase their sales and revenue by offering incentives to the supply chain stakeholders like wholesalers, retailers and distributors.

For example, a company offers higher margins of profit to the wholesaler if he exceeds the upper set limit of sales within a specific span of time.

What is meant by the potential buyer?

Potential buyer means that customer who can purchase product in future. Means there is possibility that this person can buy our product. For example, every person belongs to lower income level can buy motor cycle. Motor cycle manufacturers can consider each lower income person as their potential buyer.

What is DARK MARKETING?

Dark or covert marketing is the concept of brand building and demand-creation through largely 'invisible' and unregulated media: marketing below the radar. For example, tobacco companies in Pakistan use different ways to market their product. In Pakistan, a law has been passed a few years ago, according to which advertising tobacco on mass media is prohibited including electronic media. Now many small companies use 'dark marketing' for their product.

What is the difference between a product and commodity and how a product becomes commodity?

These two terms are used synonymously. In general discussion we take them in similar meaning. But there is slight difference between commodity and product. A commodity is still a product, but it's one sold primarily on price. It's also one sold primarily business-to-business. Example: if you have a container of wheat, you have a commodity; if you grind the wheat into flour and make bread out of it, you've turned it into a product.

What are goal theory, and its characteristics?

It is a theory that suggests that human beings are more motivated to act when there is a reward at the end of the performance of a task.

In other words, Goal theory is the study of motivation and how people attain objectives at their work place and in their personal lives.

Is it possible for a person to have more than one leadership style or not?

Yes people have more than one leadership styles. As leadership is of many kinds like charismatic leadership, Task-Oriented Leadership, People-Oriented Leadership, Bureaucratic Leadership and many more. For Example our Quaid has more than one leadership qualities. He was Task-Oriented+ People-Oriented+ charismatic leader.

What is the difference between "**Reliable Delivery**" and "**On-time Delivery**"?

Reliable Delivery Data is accepted at one end of a link in the same order as was transmitted at the other end, without any loss regarding time, place, price, quantity, and without duplicates. Simply we can say no loss and no duplication.

On-time Delivery means when an order is placed, it is scheduled based on a requested delivery date. Once a commitment is made, we do everything within our control to adhere to this date. Schedules are set up in front of each manufacturing process to help coordinate the workload and build in flexibility to absorb unexpected changes and delays.

Explain the term charismatic leadership type.? is a person can change the way of leadership according to situation?

A charismatic leader is easily able to change people and cause a change in variety of issues. A social and extroverted leader is very effective as they are able to convey a greater degree of emotion to their subordinates. How can you become a charismatic leader is the way you act and the way you communicate combine to produce a charismatic professional image as a leader to your team, to your peers and to everyone you come into contact with.

Most people will say that each of the successful leaders behaves in a different way, even in similar situations. There is no rule for how a leader should behave. Different leaders will use different aspects of their leadership qualities, and different features of their own personalities, in different circumstances.

Winston Churchill is a best example of a charismatic leader, he was recognized as one of the world's greatest leaders during wartime; but in peacetime, his leadership style just changed at all.

Explain the term charismatic leadership type.? is a person can change the way of leadership according to situation?

A charismatic leader is easily able to change people and cause a change in variety of issues. A social and extroverted leader is very effective as they are able to convey a greater degree of emotion to their subordinates. How can you become a charismatic leader is the way you act and the way you communicate combine to produce a charismatic professional image as a leader to your team, to your peers and to everyone you come into contact with.

Most people will say that each of the successful leaders behaves in a different way, even in similar situations. There is no rule for how a leader should behave. Different leaders will use different aspects of their leadership qualities, and different features of their own personalities, in different circumstances.

Winston Churchill is a best example of a charismatic leader, he was recognized as one of the world's greatest leaders during wartime; but in peacetime, his leadership style just changed at all.

MGT301 Principles of Marketing lecture no.35

What is Personal Selling?

Personal selling is a promotional method in which one party (e.g., salesperson) uses skills and techniques for building personal relationships with another party (e.g., those involved in a purchase decision) that results in both parties obtaining value. In most cases the "value" for the salesperson is realized through the financial rewards of the sale while the customer's "value" is realized from the benefits obtained by consuming the product. However, getting a customer to purchase a product is not always the objective of personal selling. For instance, selling may be used for the purpose of simply delivering information.

What is the difference between super markets and superstore and departments give examples

The supermarket focus on grocery items with few retail of some non food items, generally related to the kitchen items such as dish washers, cutlery, or utensils. The superstore will carry wide range of item along with the grocery items. The superstore may carry items such as garments, bags, stationary, or bed sheets. Overall super market focus on grocery items and superstore offer more items along with the grocery item. It means that superstore have more wider range of item as compared to the super markets.

what is purchase promotion?

Point of purchase is a place where final purchase is made in a retail outlet. Sales promotion is a short term incentive to encourage trial or purchase of a product.

Thereby point of purchase promotions can attain the form of point of purchase displays which might give information to the customer regarding a price cut-down, attractive packaging, buy one get one free promotional offer or any other variety of promotional offers. The possible outcome of this is to attract the customer into buying the product just when he is about to terminate his shopping at the point of purchase such as a cash counter.

Is there any drawback of ads?

Ads may have certain limitations which are discussed below:

- Newspaper ads have short life span
- Many ads remain unread or unseen by prospective buyers due to the fact that they might not have purchased the newspaper which carries that ad or not have tuned in to the TV channel which shows that particular advertisement.
- Sometimes the ad is not properly registered to the audience due to high clutter i.e. there may too many ads or other programs being on air.
- Ads may have fleeting exposure. I.e. the message may not be properly registered to the audience due to small time span that it gets on air.
- Ads may increase the cost of goods sold and may not contribute to the increase in sales

MGT301 Principles of Marketing Lecture no.36

What is AIDA model and where is it used?

A.I.D.A stands for - Attention - Interest - Desire - Action. It is an advertising and marketing model that stimulates consumers to engage with an advertisement in order to make final decision about the purchase of the product.

This model is used as marketing communication strategy by marketers in order to first grab the attention of consumers so that subsequent steps of AIDA model can be achieved that are creating interest, desire and attracting them for the final purchase of the product.

What is meant by Vertical System of Marketing & Horizontal system of marketing? Simplify with examples.

Vertical Marketing is one in which the key members of a distribution channel i.e. the producer, wholesaler, and retailer etc. work together as a joined group in order to meet consumer needs. Whereas Horizontal marketing system is joining of two or more companies on the same level for the purposes of pursuing a new marketing opportunity Usually a horizontal marketing system is established so that the individual members can combine resources to make the most out of the marketing situation. Products from each member can be marketed or distributed together, For example: Habib metropolitan bank and Metro cash and carry supermarket agree to have the bank's ATMs located at Metro locations, two manufacturers are marketing and distributed together otherwise not possible with each acting alone, in meeting the needs and demands of a very large retailer, or two wholesalers joining together to serve a particular region at a certain time of year.

What are department stores and give examples of them.

Departmental Stores: Those large retail outlets having wide variety of products, organized in different segments as per the product category are known as departmental stores. All shelves are present under the same roof to facilitate purchase, services, and managed.

MGT301 - Principles of Marketing Lecture No. 37

What is Direct Marketing?

Mass marketers have typically sought to reach millions of buyers with a single product and a standard message delivered through the mass media. Under this mass-marketing model, most marketing involved one-way Communications aimed at consumers, not two way interactions with them.

What are the factors involved in sales management?

- 1). Develop customer targets and call norms by dividing accounts into categories.
- 2). Develop prospect targets.
- 3). Using sales time efficiently. Aids can come from:
 - a). An annual call plan.
 - b). A time and duty analysis.
 - c). Technological equipment aids (such as cell phones, computers, and sales force automation systems).
 - d). The fastest growing technology tool used by the sales force is the Internet.

What are factors involved in the motivating strategies for sales management?

- 1) The organizational climate. This describes the feeling that salespeople have about their Opportunities, value, and rewards for a good performance within the company.
- 2). Sales quotas are standards set for salespeople, stating the amount they should sell and How sales should be divided among the company's products. Compensation is many times tied to Quotas
- 3) The company can use several positive incentives to increase the sales force effort.

MGT301 Principles of Marketing Lecture no.38

What is Strategy Implementation?

After going through the whole process of Strategy Development, the last step is to implement the strategy. As we have learned that organization having strong cultures are less adaptive as compared to those organizations having weak culture and it is difficult to change their culture i.e shared values among the employees. So it is true that Strong culture creates barrier, and they are biggest constraints in the way of any change which is going to happen. During the process of strategy implementation, organizations with strong culture resist more than other organizations.

What are the types of organizational culture?

1. Weak culture:
 - Few or no common values
 - Employee unsure of their rules
 - Lack of empowerment
2. Strong culture:
 - All or many shared and common values
 - Employee sure about rules
 - Have empowerment

What is Direct marketing?

Direct marketing is a channel-agnostic form of advertising that allows businesses and nonprofits organizations to communicate straight to the customer, with advertising techniques that can include Cell Phone Text messaging, email, interactive consumer websites, online display ads, fliers, catalog distribution, promotional letters, and outdoor advertising.

When we implement any new strategy we focus on internal and external factor of any organization. explain this statement whether is appropriate for strategy implementation!!

There are some solid reasons behind this consent. As you have asked about organizational culture in particular, so we need to understand this concept in detail, which is as follows;

Organizational Culture:

An organizational culture is the pattern of shared values and beliefs that gives members of an organization a meaning, providing them with the rule of behavior in the organization

MGT301 Principles of Marketing Lecture no.39

What is difference between “Publicity & Advertizing”. Please shortly brief in this regard with an example.

Publicity aims at creating or securing an unpaid editorial space in print or broadcast media to “Hype” i.e. promote or create excitement, interest, curiosity etc. for a product, service, idea, place, person or organization. E.g. Bill gates speeches and books have helped to create an innovative image for Microsoft Corporation.

Advertising is any paid form of non-personal presentation or promotion of goods or services by

an identified sponsor. They may use print ads or broadcast ads, billboards, point of purchase displays, audiovisual material, display signs, posters and leaflets to deliver or communicate a message to the audience regarding the product or service. Hope the above explanation satisfies your query.

What stage of the product development, the prices have to be reduced due to competitors? what is the major difference between growth stage and maturity stage.

Maturity stage is a 4th stage of product life cycle. It comes after growth and last stage is decline which comes after Maturity stage. At this stage, margin of growth is very low because product is already selling at the highest level of market capacity. For example if there is margin of 100 cars sale in one in a city and company ABC is selling 95-100 cars, it means that company has reached the maturity stage.

Define database marketing and kiosk marketing in simple words?

Database marketing is the process of constructing, maintaining and using customer databases for the purpose of contacting, transacting and building long-term and profitable customer relationships.

Kiosk Marketing: a kiosk is small information and selling unit. It may take the form of refreshment stands, free standing carts that may sell refreshments, cosmetic items etc. These are found at airports, shopping malls etc. Kiosk may also serve as an interactive computer terminal available for public use with internet access or site specific information.

What is Catalog Marketing?

Catalog marketing involves selling through catalogs mailed to a select list of customers or made available in stores

MGT301 - Principles of Marketing Lecture No. 40

When management at Yamaha Motorcycles makes decisions on saddlebags, handle bars, and seats for its bikes, they become engaged in which one pricing either Product Line Pricing or Captive-Product Pricing?

This Captive Product Pricing strategy because we have learnt that those products which can not be used without the primary product cover under the head of Captive product pricing strategy.

Give the concept of "Competitor Analysis shortly brief in this regard with an example

Competitor analysis can be done using Porter's five forces model. Porter views competition as a struggle for profits marked by 5 discrete forces.

The 5 forces as discussed in Porter's 5 forces model are as follows:

The threat of new entrants: New entrants bring new technology and a yearning for a greater market share. This ultimately puts pressure on prices, costs, etc. If barriers to entry are high like a patent or an expensive import or export license, the barriers to entry are low.

The bargaining power of suppliers: If there are limited numbers of suppliers for a large customer base, then the bargaining power of suppliers is great. This way the suppliers can capture a huge market share and may charge high prices.

The bargaining power of buyers: The bargaining power of buyers is the other side of the coin of bargaining power of suppliers. Customers can exert power by forcing down prices and demanding better quality and thereby causing industry suppliers to compete more aggressively against each other.

The threat of substitutes: a substitute product is a similar offering that often serves a similar function. E.g. water is a substitute for coke. When threat of substitution is high, industry profitability suffers as ceiling prices get created in the industry. The industry has to improve its product performance, pricing, marketing or availability in order to retain their valuable customers.

Industry Rivalry: It exists among different competitors within the same industry. They may compete on the basis of prices, product modifications, advertising campaigns, attractive prices and other promotional offers.

What is difference between organization, company, firm and corporate?

All these words can be used for any such business concern which may be involved in a manufacturing business, trading business or service business.

MGT301 - Principles of Marketing Lecture No. 41

How many countries are including in "European Community"

The six founding countries were France, West Germany, Italy, Belgium, Netherlands and Luxembourg. Later Denmark, Ireland, United Kingdom, Greece, Spain and Portugal also joined in. By 2007 fifteen more countries joined in.

What is difference between organization, company, firm and corporate?

It is true that all the organization, company, firm and corporate same function. Such as some organization attached to manufacturing business, some companies attached to trading business, and some firms attached with service business, firm, organization and company are all used synonymously. All these words can be used for any such business concern which may be involved in a manufacturing business, trading business or service business.

What are Virtual Business and internet marketing?

Virtual business means an organization that uses computer and telecommunications technologies to extend its capabilities by working routinely with employees or contractors located throughout the country or the world and imply a high degree of telecommuting as well as using remote facilities.

Internet marketing means is the marketing of products or services over the Internet.

What is market myopia? Explain it

Short sighted and inward looking approach to marketing that focuses on the needs of the firm instead of defining the firm and its products in term of the customers' needs and wants

MGT301 - Principles of Marketing Lecture No.42

What is the difference between market orientation and customer orientation

Market orientation:

Market orientation is a business approach or philosophy that focuses on identifying and meeting the declared or unseen needs or wants of customers.

Consumer Orientation:

Consumer Orientation means to focus on meeting the needs of one's customers, internal or external. This service establishes specific customer satisfaction standards and actively monitors client satisfaction, taking steps to clarify and meet customer needs and expectations.

What is annual call plan and time and duty analysis what is the difference between discount and allowances

Cash Discount:

Discount and Allowance are of same meaning.

An incentive or benefit that a seller offers to a buyer, in return for paying a bill (which is due) before the scheduled due date is known as Cash Discount.

Seller usually reduces the amount with a certain percentage, so that bill can be cleared. It also helps in reduce bad debts.

For example if Mr Jameel is the owner of the business and he has to receive amount of Rs 100,000 from Mr Nasir. But Mr Nasir is not able or willing to pay that amount at the scheduled date (due to any reason). Then Mr Jameel gives him an option that Mr Nasir may give Rs 90,000 instead of Rs 100,000 before the scheduled due date and he will clear the outstanding amount against Mr Nasir. This discount of Rs 10,000 is known as cash discount.

What is meant by marketing share what is meant by logistics and integrated logistics what is the product assortment what is sale quotas and give examples what are the fringe benefits that are used to compensate the salesperson??

Market share:

Market share means that how many customers we have in the market. For example our target market has 100 customers and 40 of them are purchasing our product, then we may say that our market share is 40%.

Logistics:

Logistics is the management of the flow of goods, information and other resources, including energy and people, between the point of origin and the point of consumption in order to meet the requirements of consumers (frequently, and originally, military organizations). Logistics involves the integration of information, transportation, inventory, warehousing, material-handling, and packaging, and occasionally security.

Product assortment:

Product assortment usually refers to the length (the number of products in the product line), breadth (the number of product lines that a company offers), depth (the different varieties of product in the product line), and consistency (the relationship between products in their final destination) of product lines.

Sale quotas:

It is the minimum sales volume goal established by the seller. Sales quota may be expressed in terms of rupees or units sold. A sales quota may be required of a salaried or commissioned salesperson or may be a sales goal set

Fringe Benefits:

All non monetary benefits, given by the company to the employee are known as fringe benefits. For example company gives motor bike to sales staff, mobile limits etc

MGT301 - Principles of Marketing Lecture No.43

What is Marketing & society?

Societal marketing concept:

The societal marketing concept is an enlightened marketing concept that holds that a company should make good marketing decisions by considering consumers' wants, the company's requirements, and society's long-term interests. It is closely linked with the principles of corporate social responsibility and of sustainable development.

What is simple & core marketing system also differentiate it?

The marketing concept aims not at finding right customers for your product but rather aims at finding right products for your customers. The whole outlook of marketing is customer-oriented. Core marketing concepts being an extension of the former are based upon focusing upon customer needs and wants, segmenting the markets, finding the right target markets and positioning your product according to the selected target market and finally satisfying the customers by offering them value.

What is direct marketing or mass marketing also differentiate it?

Mass Marketing:

Companies have not always practiced target marketing. In fact, for most of the 1900s, major consumer products companies held fast to mass marketing—mass producing, mass distributing, and mass promoting about the same product in about the same way to all consumers. The traditional argument for mass marketing is that it creates the largest potential market, which leads to the lowest costs, which in turn can help into either lower prices or higher margins.

For example, Bunny Bread supply bread in all parts of the city regardless the economical differentiation of the communities.

Direct Marketing:

Direct marketing is a process in which the middle men are removed and the product is directly sold to the end users or consumers. Direct Marketing is different as it involves the use of direct mail, email and other mediums to help complete a sale or to gain new prospects for a sale. It is a techniques used by so many companies. In this technique, many techniques of distribution have been used simultaneously. Like many companies may use direct sales to the customer and also delivering goods through a conventional mode of distribution i.e distributors to whole sellers and then to retailers.

What is price & also brief cost based price & value based price?

Price is the amount of money which includes cost plus profit.

Price = Cost + Profit

So the offered money against which, we are going to purchase some product is known as price. We can take same example over here, that the sum of all expenses incurred on the car is become the total cost of the car. Let's say total cost of a car is 100,000. Now company may sell this car at the price of 150,000. Now we can write it as;

$$150,000 = 100,000 + 50,000$$

Price = Cost + Profit

Value based pricing is a business strategy. It sets selling prices on the perceived value to the customer, rather than on the actual cost of the product, the market price, competitor's prices, or the historical price.

A cost-based price is the cost of producing a unit of the product plus a certain margin.

A value-based price reflects the value of the product to the customer.

MGT301 Principles of Marketing Lecture no.44

What is difference between “Market and market place?

A market comprises of all varieties of situations, institutions, procedures wherein interested parties engage in exchange. E.g. stock market, labor market etc

A market place refers to the physical place wherein the buyers actually in the exchange process E.g. Shopping centers, shopping malls etc

What is "Global niche strategy"?

This strategy is same as the marketer is done according to the local niche market but here the basic concern of marketers is to go global and target that market which is overlooked by the competitors.

In this scenario what is meant by Rock the Boat

Rock the boat means to destabilize the condition. In this sentence it means that market followers do not involve in the aggressive strategies to unbalance the market structure rather they are the followers of market challengers and market leaders.

Explain with example of by product strategy

By product strategy is that strategy which comes into play when there exists a by product of some product. For example Vaseline is the byproduct of petroleum related product. So strategy use in this matter will be how to market or price this product.

Product Concept

Product concept belongs to the kind of marketing orientation. It means that if you produce innovation in product then there is no need to perform heavy advertisement as product will make its advertisement itself.

If a company's customers are concentrated in a small geographic area and the company sells technical products, which promotion method will it most likely use? IS IT Personal selling ?

The nature of technical products about which you are talking needs to be specified because if the products are related to B2C nature then personal selling can be an option along with sales promotion efforts but if the products are related to B2B nature then face to face selling will be the best option.

MGT301 Principles of Marketing Lecture no.45

"A good packaging may Protect the product and Help to sell the product and Raise total distribution cost" explain it briefly.

Packaging is related with the container in which product is offered for the sales. Like boxes, pet `bottles etc. The major function of the packaging is to protect the core product. For example Coke or Pepsi is supplied in plastic bottle, which not only keep the pressure of carbonate in the liquid but also make it handy, easy to drink and place in a shelf or fridge.

Obviously, when all these factors are under consideration, company has to develop more effective packages for the product, which requires research and development process. Huge amount of resources are allocated for this purpose, which consequently raise the distribution cost of the product.

What is the Concept of E. Promotion?

E- Promotion or e- marketing is one of the same thing. This word is derived from “department” which refers to the government body, which deal with a certain domains, like ministry of education, ministry of science and technology etc

What is inelastic and elastic?

If demand hardly changes with a small change in price, we say the demand is inelastic. If demand changes greatly, we say the demand is elastic.

What are the promotional techniques for computer related business like software house computer colleges??

You can promote your products through advertisement, brochures, price deals, contests, sweepstakes, games etc.

What are the factors while making a price of a product other then cost?

- Buying Behavior
- Living Standard
- Suitable in different cultures or geographical boundaries

What is the Concept of “Idea Generation”?

Idea generation is the creative process of generating, developing, and communicating new ideas, after a detailed cognitive process with the help of knowledge gain from surrounding and available resources of information gathering.